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RAMNATH GOENKA

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BECAUSE THE TRUTH INVOLVES US ALL

For new energy, remove old bottlenecks

WITH MORE than 300 GW of installed capacity, India ranks third globally in renewable-energy (RE) deployment. But this impressive growth has not always translated into green energy being available when demand is highest, particularly during the evening peak. As this newspaper reported on July 31, transmission constraints and the need to maintain grid security forced operators to curtail a significant amount of solar power-generated electricity during April to June. The Centre's Green Energy Corridor Phase-III scheme tries to address this constraint by strengthening systems in states to evacuate up to 135 GW of renewable energy. The project will also add 50 GWh of battery energy storage.

Renewables, especially solar and wind power, have transformed the country's energy basket, but their variability places new demands on transmission planning and storage. The new scheme is expected to address intermittency during peak hours and meet demand when the Sun is not shining. The emphasis on intra-state networks is particularly significant. Renewable projects are often concentrated in specific regions while demand is spread across cities, industries and rural areas within states. Strengthening the network's last leg is crucial to ensuring that green power actually reaches consumers. The scheme has earmarked Rs 1,36,378 crore for transmission infrastructure. Its implementation will require learning from past experiences, which suggest that challenges are not restricted to drawing investment. A report of the Parliamentary Standing Committee on Energy tabled in Parliament in December last year, for instance, pointed out that issues related to right-of-way compensation — payment to landowners when high-voltage power transmission lines pass near their property — land acquisition and delays in environmental clearances are major hurdles in laying transmission lines.

The other major challenge will be to ensure that the 50 GWh storage component becomes a functioning part of the grid rather than a procurement target. Battery projects need viable business models and incentives — especially because the sector relies on overseas suppliers for critical raw materials — recycling arrangements and clear rules on who can use and pay for storage. The Centre and states will have to work together on planning and implementation. Renewable resources, transmission corridors and electricity demand do not follow administrative boundaries, and — as the parliamentary committee pointed out — fragmented decision-making often delays projects. Going forward, the government needs to give serious thought to the panel's proposal for a portal that brings all approving authorities together for real-time monitoring and faster decision-making. The new corridor could be the backbone of the next phase of India's green energy transition. It will do well to overcome the bottlenecks of the past.

Industry is growing, but isn't creating jobs

INDIA'S FORMAL manufacturing sector continues to chug along at a fairly healthy pace. This is evident across a range of indicators. In 2024-25, the registered manufacturing segment's output grew by 7.8 per cent, employment by 7.2 per cent, and emoluments by 12.08 per cent, according to the Annual Survey of Industries. However, other key indicators also warrant close attention. Wages per worker have grown at a slower pace than net profit, output per worker has remained roughly the same over the years, while invested capital has increased steadily. These developments have had implications for consumption, investment and productivity in the economy.

ASI data shows that total persons engaged in organised manufacturing crossed 2 crore in 2024-25, up from 1.72 crore in 2021-22. But this is only a fraction of the labour force. A substantial share of the labour force is still engaged in the informal economy. In fact, of all non-farm workers in the country, 73.1 per cent are engaged in informal-sector enterprises as per the Periodic Labour Force Survey 2025. The formal sector, both manufacturing and services, simply does not provide enough job opportunities. In 2023-24, while 1.9 crore persons were employed in organised manufacturing, about 3.3 crore were employed in the unorganised segment as per the Economic Survey. Organised manufacturing also continues to be dominated by small firms, whereas, according to the Economic Survey, it's the bigger factories (those employing more than 100 workers) that employ a larger share of workers, pay higher wages and have higher labour productivity.

Successive governments have taken steps to boost the manufacturing sector. But its contribution to GDP and share in employment has barely budged. Manufacturing in India has not emerged as an engine of mass employment, unlike in the development trajectory of Asian economies such as Korea and China. It has not provided avenues for the millions entering the labour force each year, and those wanting to exit the farm sector. And, without such avenues, the low-skilled and unskilled simply have no alternative but to either remain on the farm or engage in gig work. Therein remains India's employment challenge.

The Jane Eyre Beijing doesn't get

CHARLOTTE BRONTË'S Jane Eyre is an unlikely heroine for a state seeking to teach young women a moderate face of feminism and the value of domesticity. Plain, financially constrained, lacking in social capital she might be, but Brontë's heroine wasn't short on self-awareness. She declares, "I can live alone, if self-respect, and circumstances require me so to do. I need not sell my soul to buy bliss."

It is probably this insistence on equality that has lent the novel such appeal in China since it was first introduced in translation in the early 1920s. Now, however, the Chinese state has made it mandatory reading for ninth-grade students, arguably for quite different reasons: Beijing is waging an uphill campaign against plummeting birth and marriage rates. A 19th-century romance, with its promise of true love and a value system oriented towards home and hearth, could work as useful propaganda. In this modernist state re-reading, Eyre is rebellious, but not irredeemably so; independent, but not averse to settling down; outspoken, but unmistakably feminine. She is proof that a woman can have a mind of her own without turning her back on the domestic.

And yet, there are postscripts to this reading. Marriage at the end of *Jane Eyre* is undergirded by clarity. Eyre walks away from it when staying would have meant becoming lesser, unequal. Only later, with an inheritance of her own and the independence it guarantees, does she return to Rochester. Love becomes, in Brontë's telling, a choice, not a surrender. Perhaps that is the lesson young readers will take away from it.

We have a model investment treaty. And are losing billions because of it

READERS WILL know that my constant preoccupation regarding economic policy is with the following fact: We know, and have known, what the right policy is to follow. Yet, we don't allow the right policy to happen. Among several recent concrete examples are the dire need for domestic deregulation, the revision of the 2016 Model Bilateral Investment Treaty (BIT) and the signing of a trade deal with the US. You have heard all the "excuses" as to why we can't allow the right policy to happen. The world is in flux, so what to do? Unreliable Trump is in control, so what to do? But why are we not acting on policies totally within our control? As a concrete example, what is holding up the formulation and implementation of a new BIT?

This is what should worry us, and it doesn't. Our record of bad or no action has nothing to do with whichever political regime is in power. It has to do with the Deep State, and with the officials who pull the strings on behalf of their political and economic masters. India has been the most obstructionist member of the WTO. With the "Model" BIT, it went on to construct the most obstructionist investment treaty in the world. Two continuing records, and a steady supply of policy band-aids that fool nobody except the apologists and those whose interests are served by India remaining closed and inactive. You might take this as an unfounded allegation, and you could not be more wrong. What follows is explicit documentation. For the full details and the data, readers are referred to my Substack.

It has been 18 months since Finance Minister Nirmala Sitharaman told Parliament

that the Model BIT of 2016 would be revised; in foresight and in hindsight, it really wasn't much of a model. Consider what it demanded. Before going to international arbitration, a foreign investor had to litigate in Indian courts for five years. The rest of the world, those who receive foreign investment and those who send it, asks for a consultation period — typically three to six months — in which the parties try to settle, rather like the cooling-off before a divorce. India asked for 10 times that, in a judicial system where five years does not produce a judgment anyway. Even the judiciary is criticised only cautiously, so as not to run afoul of India's near-unique contempt laws.

The rule never brought any resolution. It only brought inordinate delay. The new treaties since that 2016 black-letter day, with the UAE in 2024 and Israel in 2025, cut the holding period to three years — still six times the norm. The recommendation, by some, is two years. Why don't we ask for the logic, or the reasoning, behind our own recommendations? Where did two years come from? Why not the conventional and reasonable practice that the rest of the world follows — three to six months of consultations?

And what did the 2016 model get us? Exactly what its designers desired. Nine years and six new treaties. In exchange, the FDI network was dismantled, bit by bit. Treaties in force fell from 73 in 2015 to 29 in 2017, 16 in 2019 and just eight by 2021, where the count stayed for another four years. Of the eight survivors, not one covered a significant source



SURJIT S BHALLA

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Aid may be dead. Long live international development



AMRITA NARLIKAR

THE NUMBERS are alarming. International aid flows recorded an unprecedented drop by over 23 per cent last year; a continued fall is projected for this year. US President Donald Trump's decision to axe 80-85 per cent of USAID projects and contracts was a trigger, but the cutbacks have also come from other donors due to changing political priorities, fiscal constraints, and domestic discontent. The decline hits some of the poorest and neediest recipients hard, leaving them little scope to find timely alternatives. For some, this transition is proving to be existential; the human costs of this must be acknowledged and addressed. But as we look to the future of international development in a world of aid scarcity, the context needs highlighting.

While recognising the challenges, we must avoid golden-age thinking. Disconnect from people on the ground, and excessive and misguided management by donors, tended to affect even aid packages that came with the best of intentions. Less scrupulous deal-tied aid to other geopolitical goals at the cost of the recipients' strategic autonomy. Aid politics has thus been a fraught affair, and the old architecture was creaking under the weight of legitimacy, efficiency and accountability issues. A fundamental rethink is long overdue for all parties involved. Instead of bemoaning the drying up of aid flows, we should be exploring alternative routes for international development. In that vein, four ideas are outlined below.

First, international development faces a host of challenges. But one source of those challenges — weaponised interdependence, which drives states to redefine priorities, turn inwards, and rearm — also holds a key to enhancing the bargaining power of parts of the Global South. Even as the US, China, the EU and others try to realign and secure their supply chains, developing countries have an opportunity to make use of their critical minerals, ports and other resources to establish new partnerships. If they play their cards right, such partnerships will not be one-sided and extractive. Rather, they will come with technology transfers, infrastructure development, training, job creation, and long-term development. The competition among the major powers strengthens the Global South's bargaining hand.

Second, the worsening crisis of multilateralism hits developing countries hard. Multilateral institutions are useful settings

for them to work in coalitions and shape global narratives. Even as great powers throw temper tantrums, developing countries should join forces not just to preserve but to fundamentally revamp multilateral organisations. The opportunity the aid crisis creates can be used proactively, for instance, to make the WTO systematically more development-friendly. Recall that even though developed countries dug in their heels, the Global South inserted and transformed development narratives in the WTO. The now-failed Doha Development Agenda was once a successful example of this; so was the transformation of the "trade not aid" narrative into the "aid for trade" formula. Development faces greater headwinds today. But developing countries should remind themselves of their past successes and join forces again to redirect trade narratives and policies towards an updated development agenda.

Third, there are many bad reasons international aid has ended up where it has today. But among a few of the good reasons some old models of development aid should end up in the dustbin, one is the disregard they showed for questions of deep ecology. One explanation is that they were West-centric, and therefore, also anthropocentric. They were incapable of recognising, let alone incorporating, alternative perspectives and lifestyles from indigenous, Southern civilisations that have honoured the oneness of human, multi-species and planetary well-being. As new approaches try to fill the emerging vacuum of development aid, the Global South can have a constructive, ideational role in producing a paradigm shift.

Finally, a reiteration by the Global South to reform old models of aid through "demand-driven" "bottom-up" approaches will not suffice. More-than-human species cannot speak up for themselves, and there are still far too few humans willing to include their rights to existence and dignity in their own demands. One reason India's leadership of the G20 deserves to be regarded as path-breaking is that it recognised the deeply interconnected nature of all existence, and hence advanced the cause of the well-being of both people and planet. Were theorists and practitioners to take a cue from this approach, we might get a new model of aid that is fit for our times and actually worth saving.

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Gandhi's first fight was for the vote



C UDAY BHASKAR

AGAINST THE backdrop of the raging SIR controversy, Gandhi Jayanti is an opportune moment to recall the young lawyer Mohandas Gandhi and his travels in South Africa, where a colonial regime was seeking to deny Indians their vote. His first political battle was not *satyagraha* but the right to vote. In July 1894, the Natal government proposed to disenfranchise Indians as part of colonial policy. In his petition to Lord Ripon, Secretary of State for the Colonies, Gandhi wrote that an Indian without the vote would lose "self-respect, to remain in the Colony". A year later, he warned that the consequences of disenfranchisement were "too dreadful to contemplate".

That fight, in a colony, became his template for India and what he envisioned for the free Indian citizen. In the decades preceding 1947, many in Congress and in Whitehall argued that India was too illiterate, caste-ridden and diverse for adult franchise. Gandhi opposed this unequivocally. In *Young India* and *Harjan* through the 1920s, he argued that universal adult franchise must be the basis from day one, for it compels the powerful to listen. At the 1931 Round Table Conference, he demanded it without qualification, for men and women, rich and poor, literate and illiterate, irrespective of faith and caste. There, he recounted from personal experience how voters' lists could be manipulated. In September 1896 in Durban, Mohandas Gandhi found his name on an electoral roll even though he had not applied. A candidate, knowing a few Indians had the vote, had included Gandhi's name without his knowledge to secure his support. Recalling this 35 years later, he said, "Since then, I have known how voters' lists are prepared."

Elections in free India have been plagued by money and muscle power, but never have so many citizens been disenfranchised en masse as by the SIR, tainting the moral sheen that gives equal weight to each voice in the democratic template. Why recall this on October 2? India adopted universal adult franchise at the Republic's founding in 1950, when even European democracies were hesitant to give women the vote. It was Gandhi's idea and resolve that later became the law. Today, the SIR has made a mockery of the sanctity of the citizen and the vote.

If rolls are revised in an illegal manner that contracts rather than expands voter lists, this is a repeat of what Natal did in 1894, using venal procedure to narrow the voter base and shrink their rights. On Gandhi Jayanti, those part of the administrative machinery steering the SIR, all sworn to abide by the Constitution, must abide by the Gandhian counsel and the three tests. First, does a revision increase citizen self-respect or diminish it? Second, is the roll prepared impartially or with the "favourable prospects of victory of a particular candidate" in mind, the very manipulation Gandhi saw in 1896? Third, is the vote being treated as a right to be protected or a privilege to be granted?

Voter erasure of this scale is not a technical error. It is selective "civicide" (destruction of citizen rights) leading to "disfranchiside" (intentional mass disenfranchisement). As Gandhi wrote in 1894, an election is not an event but the constitutional guarantee that the weakest still counts. On his birthday, this is the Gandhi India must remember — not just the man with a staff, but the young lawyer who understood that a name on a list is a right, and a name struck off is state-endorsed turpitude.

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Gandhi statue controversy

THE MAYOR of New York has declined to unveil the eight-foot-high statue of Mahatma Gandhi at Union Park in Washington. No Indian official from any mission in the US will attend. Civil rights leader Bayard Rustin, personal secretary of Martin Luther King and first Black American to protest outside the British High Commission in Washington during Quit India Movement, will lead the ceremonies.

PM assurance on Hindi

THE TAMIL Nadu Chief Minister, M G Rama-

chandran, elicited a categorical assurance from the Prime Minister, Rajiv Gandhi, that the Centre had no intention of imposing Hindi on the people of Tamil Nadu. During the 50-minute meeting at the Prime Minister's office in New Delhi, Ramachandran apprised Rajiv Gandhi of the strong feelings of the people of Tamil Nadu arising out of a circular issued by the Press information Bureau in Madras about the use of Hindi as the official language

Reagan lauds Indian economy

DECLARING THAT India had captured the spirit of economic freedom, US President

Ronald Reagan said such progressive nations were challenging old dogmas and rediscovering a timeless truth. The swamp of state control and regulation was finally giving way to a vision of the future, which, he said, rested on two words — economic freedom.

3 more held in Vaidya case

THREE MORE persons, including a woman, have been arrested in Durg and two unlicensed revolvers recovered from them as raids and searches of suspected extremist hideouts continued, official sources in Raipur said.

40 YEARS AGO

October 2, 1986

